Uniform Residential Appraisal Report

12345 HOLIDAY HWY, SURFSIDE, HI 12345

SUMMARY

Opinion of Market Value	$195,000	**Market Value Condition**	As Is
Effective Date of Appraisal	10/05/2019	**Property Valuation Method**	Traditional Appraisal
Assignment Reason	Purchase	**Appraiser Name**	Tom Appraiser
Borrower Name	Betty Borrower		
Current Owner of Public Record	Sydney Seller		
Contract Price	$160,000		
Listing Status	Pending		

Property Description

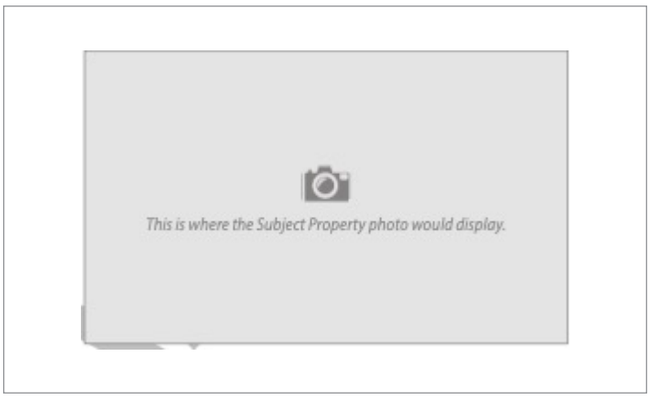
Construction Method	Site Built	**Overall Quality**	Q5
Attachment Type	Detached	**Overall Condition**	C4

	Yes	No
Planned Unit Development (PUD)	☐	☑
Condominium	☐	☑
Cooperative	☐	☑
Condop	☐	☑
Subject Site Owned in Common	☐	☑

Units Excluding ADUs	2
Accessory Dwelling Units	0
Property Rights Appraised	Fee Simple

	Yes	No
Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use?	☑	☐

Zoning Compliance	Legal Nonconforming



Apparent Defects, Damages, Deficiencies Requiring Action

None

Assignment Information

Assignment Reason	Purchase
Borrower Name	Betty Borrower
Seller Name	Sydney Seller
Current Owner of Public Record	Sydney Seller

Property Valuation Method	Traditional Appraisal

	Yes	No
Was a Property Data Report used in lieu of an Inspection?	☐	☑

Contact Information

Client/Lender

Company Name	Random National Bank
Company Address	123456 Main St
	Nowhere, NE 98765

Appraiser

Name	Tom Appraiser

Credentials

Level	Trainee Appraiser
ID	1111TRHI
State	HI
Expires	12/31/2021

Supervisory Appraiser

Name	Arthur Appraiser
Designation	ASA

Significant Real Property Appraisal Assistance

Credentials

ID	1111TRHI
State	HI
Expires	12/31/2021

Assignment Information and Scope of Work Commentary

Additional commentary can be added here, if needed by Appraiser.

Subject Property

Physical Address	12345 Holiday Hwy Surfside
	12345 HI
County	Hawaii
Neighborhood Name	Hawaiian Vista

	Yes	No
Planned Unit Development (PUD)	☐	☑
Condominium	☐	☑
Cooperative	☐	☑
Condop	☐	☑
Property on Native American Lands	☐	☑
Subject Site Owned in Common	☐	☑
Homeowner Responsible for all Exterior Maintenance of Dwelling(s)	☑	☐
New Construction	☐	☑

Attachment Type	Detached
Units Excluding ADUs	2
Accessory Dwelling Units	0
Dwellings Containing Units	2
Special Tax Assessments	No

Ownership Rights

Property Rights Appraised	Fee Simple

All Rights Included in Appraisal	No
Rights Not Included	Mineral Rights

Description of Rights Not Included All mineral rights are held by the state of Hawaii.

Legal Description

Lot 4, Block 35, Hawaiian Vista

Subject Property Commentary

Additional commentary can be added here, if needed by Appraiser.

Site

Total Site Size	11,997 Sq. Ft.
Number of Parcels	1

Assessor Parcel Number (APN)	APN Description	Parcel Size
3-1-5-067-055	Land with Dwelling	11,997 Sq. Ft.

Zoning

Compliance	Legal Nonconforming
Classification Code	A-1A
Classification Code Description	Agricultural/Residential, 1.00 Acre Minimum
Impact	Neutral

Description of Zoning Compliance According to Hawaii Planning and Zoning Office, the subject can be rebuilt if destroyed. Nonconforming to zoning due to smaller lot size than currently allowed.

Property Access

Primary Access	Public Street
Street Type and Surface	Asphalt Collector Street
Typical for Market	Yes

Description of Property Access Subject fronts onto a collector street.

Site Influence

Influence	Proximity	Detail	Impact	Comment
Busy Roadway	Bordering		Adverse	Site fronts to a collector street through the community, which has higher density traffic impacting subject's marketability.

Site Influence Commentary Additional commentary can be added here, if needed by Appraiser.

View and Impact to Value/Marketability

View	Range of View	Impact
(Primary) Residential	Full	Neutral

View Commentary Additional commentary can be added here, if needed by Appraiser.

Site Features and Impact to Value/Marketability

Feature	Detail	Impact	Comment
Hazard Zone	USGS Lava Flow Zone 2	Adverse	
Site Characteristic	None		

Site Features Commentary Additional commentary can be added here, if needed by Appraiser.

Utilities and Impact to Value/Marketability

Broadband Internet Available Yes

	Public	Private	Detail	Private Utility Impact	Comment
Electricity	✓	✓		Neutral	Cesspools are typical in this jurisdiction.
Gas	✓	✓		Neutral	Cesspools are typical in this jurisdiction.
Sanitary Sewer		✓		Neutral	Cesspools are typical in this jurisdiction.
Water	✓				
	Public	Public			

Apparent Defects, Damages, Deficiencies (Site)

None

Site Valuation Methodology

#	Address	County	Data Source	Assessor Parcel Number (APN)	Site Size	Sale Date	Price
			Assessor Record				

Site Commentary

Additional commentary can be added here, if needed by Appraiser.

Site *(continued)*

Site Exhibits

Property Access (Street Scene) East

This is where the Property Access East Facing photo would display.

Property Access (Street Scene) West

This is where the Property Access West Facing photo would display.

Hazard Zone - USGS Lava Flow Zone



Energy Efficient and Green Features

Known Renewable Energy Components	None
Known Building Certifications	None
Known Efficiency Ratings	None

Sketch

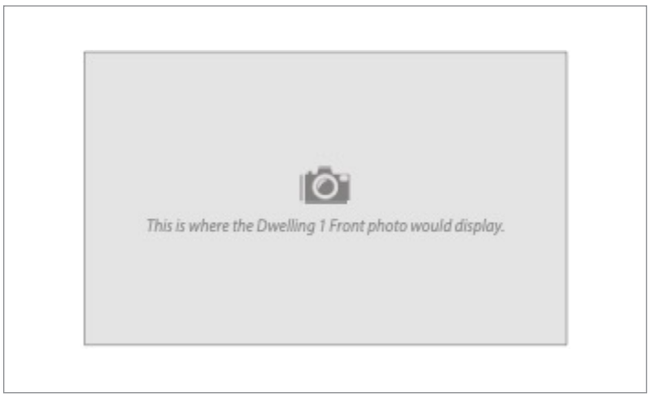
Measurement Standard	ANSI

Sketch Commentary

Additional commentary can be added here, if needed by Appraiser.

Dwelling Exterior - Building 1

Subject Property Units in Structure	1
Dwelling Style	Ranch
Front Door Elevation	Up to 1 foot
Year Built	1985
Construction Method	Site Built
Converted Area	None



Quality and Condition

Exterior Quality Rating Q5

Exterior Condition Rating C4

The table below supports the Exterior Quality and Condition ratings and reflects the market value condition of this report

Exterior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Exterior Walls and Trim		T-111 siding	Typical Wear and Tear	Add comment if needed.
Foundation	Metal | Post and Pier	T-111 siding	Typical Wear and Tear	Add comment if needed.
Roof	Metal	T-111 siding	Typical Wear and Tear	Add comment if needed.
Windows		T-111 siding	Typical Wear and Tear	Add comment if needed.

Mechanical System Details

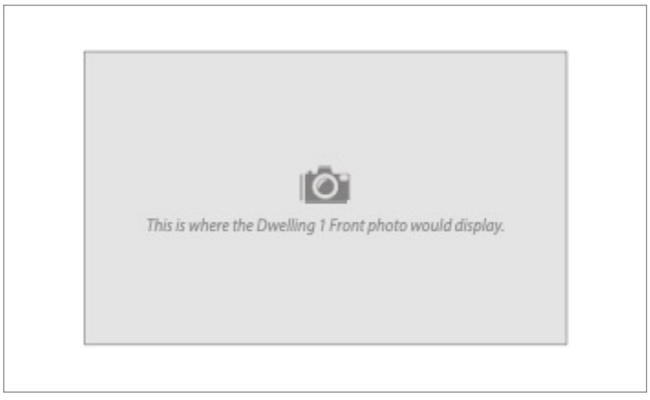
	System	Detail
Heating	None	Typical for Market
Cooling	None	

Dwelling Exterior Commentary

Utilities were on and functioning during time of inspection.

Dwelling Exterior - Building 2

Subject Property Units in Structure	1
Dwelling Style	Ranch
Front Door Elevation	Up to 1 foot
Year Built	1985
Construction Method	Site Built
Converted Area	None



Quality and Condition

Exterior Quality Rating Q5

Exterior Condition Rating C4

The table below supports the Exterior Quality and Condition ratings and reflects the market value condition of this report

Exterior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Exterior Walls and Trim		T-111 siding	Typical Wear and Tear	Add comment if needed.
Foundation	Metal | Post and Pier	T-111 siding	Typical Wear and Tear	Add comment if needed.
Roof	Metal	T-111 siding	Typical Wear and Tear	Add comment if needed.
Windows		T-111 siding	Typical Wear and Tear	Add comment if needed.

Dwelling Exterior - Building 2 *(continued)*

Mechanical System Details

	System	Detail
Heating	None	Typical for Market
Cooling	None	

Dwelling Exterior Commentary

Additional commentary can be added here, if needed by Appraiser.

Manufactured Home

Manufactured Home Exhibits

Building 1

Unit 1

Unit Interior - Building 1 - Unit 1

Area Breakdown	
Finished Above Grade	864 Sq. Ft.
Finished Above Grade (Nonstandard)	0 Sq. Ft.
Unfinished Above Grade	0 Sq. Ft.
Finished Below Grade	0 Sq. Ft.
Finished Below Grade (Nonstandard)	0 Sq. Ft.
Unfinished Below Grade	0 Sq. Ft.

Levels in Unit	1
Occupancy	Tenant
Utilities Separately Metered	Yes
Total Bedrooms	2
Total Bathrooms - Full	1
Total Bathrooms - Half	0

	Yes	No
ADU	☐	☑

Level and Room Detail

Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level 1	Above Grade		864 Sq. Ft. 0 Sq. Ft.	Bedroom

Quality and Condition

Interior Quality Rating Q5

Interior Condition Rating C4

The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report

Kitchen and Bathroom Details

Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Level 1 Bedroom					

Overall Update Status for Bathrooms Moderately Updated

Interior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring				
	Carpet	Commercial grade carpeting	New or Like New	Add comment if needed.
	8 Ft.			
	Flat			

Overall Update Status for Flooring Fully Updated

Accessibility Features for Individuals with Disabilities

Feature	Comment
None	

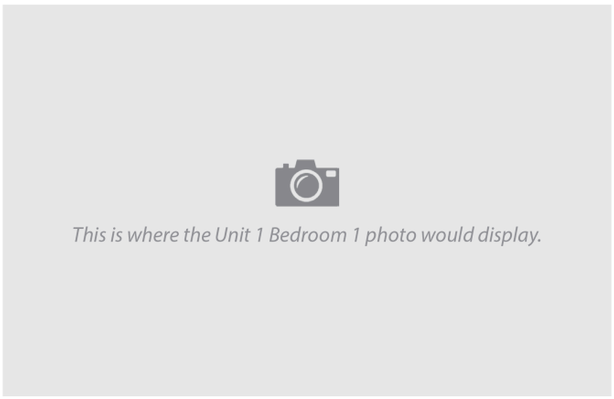
Unit Interior Commentary

Some areas of deferred maintenance noted and identified in the report for this unit, but the livability of the unit is not affected.

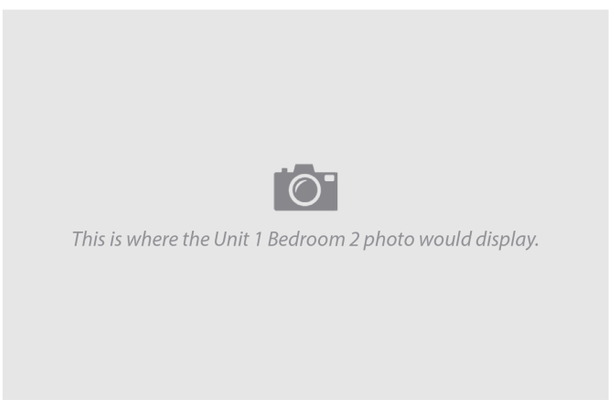
Unit Interior Exhibits

Unit Interior - Building 1 - Unit 1 *(continued)*

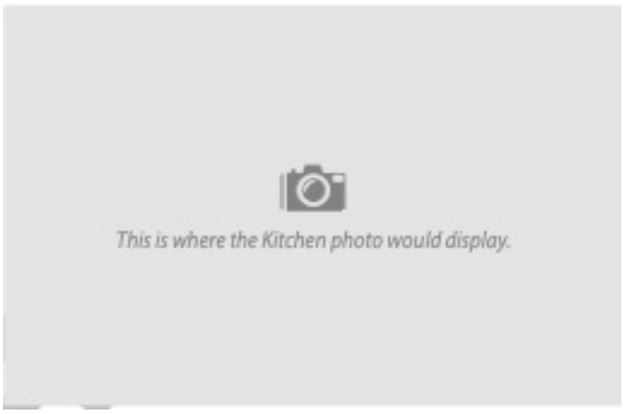
Bedroom 1



Bedroom 2









Unit Interior - Building 2 - Unit 2

Area Breakdown	
Finished Above Grade	864 Sq. Ft.
Finished Above Grade (Nonstandard)	0 Sq. Ft.
Unfinished Above Grade	0 Sq. Ft.
Finished Below Grade	0 Sq. Ft.
Finished Below Grade (Nonstandard)	0 Sq. Ft.
Unfinished Below Grade	0 Sq. Ft.

	Yes	No
ADU	☐	☑

Levels in Unit	1
Occupancy	Owner
Utilities Separately Metered	Yes
Total Bedrooms	2
Total Bathrooms - Full	1
Total Bathrooms - Half	0

Unit Interior - Building 2 - Unit 2 *(continued)*

Level and Room Detail

Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level 1	Above Grade		864 Sq. Ft. 0 Sq. Ft.	Bedroom

Quality and Condition

Interior Quality Rating Q5

Interior Condition Rating C4

The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report

Kitchen and Bathroom Details

Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Level 1 Bedroom					

Overall Update Status for Bathrooms Moderately Updated

Interior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring				
	Carpet	Add comment if needed.	Typical Wear and Tear	Add comment if needed.
	8 Ft.			
	Flat			

Overall Update Status for Flooring Moderately Updated

Accessibility Features for Individuals with Disabilities

Feature	Comment
None	

Unit Interior Commentary

Some areas of deferred maintenance noted and identified in the report for this unit, but the livability of the unit is not affected.

Unit Interior Exhibits

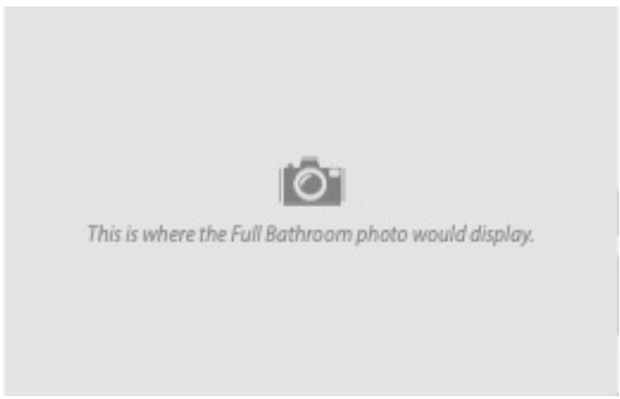
Bedroom 1

This is where the Unit 2 Bedroom 1 photo would display.

Bedroom 2

This is where the Unit 2 Bedroom 2 photo would display.

Unit Interior - Building 2 - Unit 2 *(continued)*







Functional Obsolescence

Functional Issues None

Functional Obsolescence Commentary

No functional or external obsolescence noted.

Vehicle Storage

Carport

Storage	Number of Parking Spaces	Detail
Carport	2	400 Sq. Ft. Detached

Apparent Defects, Damages, Deficiencies (Vehicle Storage)

None

Vehicle Storage Commentary

Additional commentary can be added here, if needed by Appraiser.

Subject Property Amenities

Amenity Category	Subject Property Amenity	Material	Detail
Water Features	Outdoor Shower		2

Apparent Defects, Damages, Deficiencies (Subject Property Amenities)

None

Subject Property Amenities Commentary

Each unit has its own outdoor shower.

Overall Quality and Condition

Overall Quality	Q5	**Overall Condition**	C4
Exterior Quality	Building 1 | Q5	Exterior Condition	Building 1 | C4
Interior Quality	Unit 1 | Q5	Interior Condition	Unit 1 | C4

Reconciliation of Overall Quality and Condition

The appraiser's inspection was visual and not technical in nature. Quality and condition ratings are based on the appraiser's observations on the date of inspection. See the defects, damages, and deficiencies table for specifics.

Highest and Best Use

Legally Permissible	Yes	**Financially Feasible**	Yes
Physically Possible	Yes	**Maximally Productive**	Yes

Yes

Highest and Best Use Commentary

Additional commentary can be added here, if needed by Appraiser.

Market

Market Area Boundary The subject market is roughly bounded by Keaau and Hawaii State parkland to the north, the Pacific Ocean to the east and the south, and State Route 130 to the west.

Search Criteria Description Closing dates between 09/01/2018-09/01/2019 and bounded by Keaau and Hawaii State parkland to the north, the Pacific Ocean to the east and the south, and State Route 130 to the west.

Search Result Metrics

Active Listings	7	**Sales in Past**	12
Median Days on Market	148	Months	10
Lowest List Price	$234,900	Lowest Sale Price	$200,500
Median List Price	$352,000	Median Sale Price	$403,230
Highest List Price	$739,000	Highest Sale Price	$620,000
Pending Sales	1	**Distressed Market Competition**	No

Price Trend Analysis Commentary An analysis of the sales in the past year for the subject's market area shows sales volume to be consistent across the year. Supply and demand are in balance and the absorption rate is typical of historical trends. The market in the subject area is considered to be stable.

Housing Trends

Demand/Supply	In Balance	**Marketing Time**	3 to 6 months

Market Commentary

Additional commentary can be added here, if needed by Appraiser.

Subject Listing Information

Current and/or relevant listings of the subject property (minimum 1 year look back)

Data Source	Assessor Record

Subject Listing Information *(continued)*

Listing Status	Listing Type	Listing ID	Start Date	End Date	DOM	Starting List Price	Current or Final List Price
Pending	FSBO				0		$160,000.00
						Total DOM	0

Sales Contract

	Yes	No
Is there a sales contract?	☑	☐
Was sales contract information analyzed?	☑	☐

Non-Arm's Length Commentary Yes

Personal property is not included in the appraiser's final opinion of value

Contract Price	$160,000
Contract Date	08/25/2019
Transfer Terms	Private Sale
Personal Property Conveyed	No

Financial Sales Concessions

Financial assistance paid by or on behalf of the seller as an inducement to purchase the subject property

Known Sales Concessions No

Sales Contract Analysis

This is a FSBO. This transaction is between investors with a contract price below market value.

Prior Sale and Transfer History

Subject Transfer History

Prior sales and/or transfers of the subject property (minimum 3 year look back)

Prior Sales or Transfers None

Data Source Assessor Record

Transfer Terms	Date	Amount	Data Source
			Assessor Record

Analysis of Prior Sale and Transfer History of Subject Property My research revealed no prior transactions within the past 3 years.

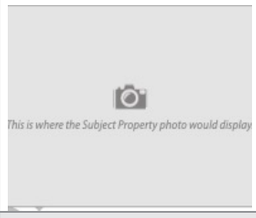
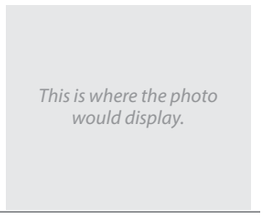
Comparable Transfer History

Prior sales and/or transfers of the comparable properties from the 'Sales Comparison Approach' section (minimum 1 year look back)

#	Transfer Terms	Date	Amount	Data Source
1				
2	None			
3				
	Typically Motivated	04/30/2019	$279,000.00	
	Typically Motivated	11/20/2018	$275,000.00	
	Typically Motivated	12/03/2018	$200,500.00	
	Typically Motivated	05/30/2019	$249,750.00	
	Estate Sale	11/01/2018	Not Disclosed	
				Assessor Record

Analysis of Prior Sale and Transfer History of Comparable Sales The prior sale for comparable #1 was a market sale listed in the MLS. The original owner was forced to relist the property as a result of an unexpected job transfer. The appraiser was unable to determine the prior sales price for comparable #3. Information from the tax record indicates that the property was transferred as part of an estate settlement/sale.

Sales Comparison Approach

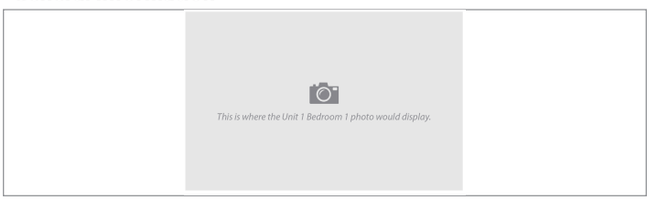
	Subject Property	Comparable #1		Comparable #2		Comparable #3	
General Information							
Property Address	12345 Holiday Hwy Surfside 12345 HI	13-222 N Trail Loop Surfside 12345 HI		25-1837 Highmountain Pl Surfside 12345 HI		22-1713 Broad Ave Surfside 12345 HI	
							
Data Source	—	—		—		—	
Proximity to Subject	—	S 1.10		NW 5.10		W 4.40	
List Price	$160,000	$279,000		$210,000		$257,500	
Listing Status	Pending	Settled Sale		Settled Sale		Settled Sale	
Sale Price	—	$279,000 | $275,000		$200,500		$249,750	
Transfer Terms	—	Typically Motivated | Typically Motivated		Typically Motivated		Typically Motivated | Estate Sale	
Financing Type	—	VA	$0	Conventional	$0	Conventional	$0
Sales Concessions	No	No		No		No	
Contract Date	—	02/22/2019	$0	10/01/2018	$0	03/20/2019	$0
Sale Date	—	04/30/2019 | 11/20/2018	$0	12/03/2018	$0	05/30/2019 | 11/01/2018	$0
Days on Market	0	115		94		87	
Attached/Detached	Detached	Detached		Detached		Detached	
Property Rights Appraised	Fee Simple	Fee Simple		Fee Simple		Fee Simple	
Rights Not Included	Mineral Rights	Mineral Rights		Mineral Rights		Mineral Rights	
Site							
Site Size	11,997 Sq. Ft.	11,965 Sq. Ft.	$0	1 Acres	-$15,000	1 Acres	-$15,000
Neighborhood Name	Hawaiian Vista	Hawaiian Parks	$0	Ocean Vista Park	$0	Ocean Vista Park	$0
Zoning Compliance	Legal Nonconforming	Legal Nonconforming		Legal	$0	Legal	$0
Hazard Zone	USGS Lava Flow Zone 2	USGS Lava Flow Zone 2		USGS Lava Flow Zone 3	-$15,000	USGS Lava Flow Zone 3	-$15,000
Site Characteristics	None	Landscaping	-$2,000	None		None	
Site Influence (Location)	Busy Roadway	Busy Roadway	-$25,000	Residential	-$5,000	Residential	-$5,000
View | Range	Full Residential	Full Residential		Full Residential		Full Residential	
Dwelling(s)							
Year Built	1985	2005	-$5,000	1946	$10,000	1992	$0
Gross Building Finished Area	1,728 Sq. Ft.	2,790 Sq. Ft.	$0	1,288 Sq. Ft.	$0	1,456 Sq. Ft.	$0
Construction Method	Site Built	Site Built		Site Built		Site Built	
Disaster Mitigation	Impact Resistant Glass	Impact Resistant Glass		None	$5,000	Impact Resistant Glass	
Heating	None	None		None		None	
Unit(s)							
Structure ID | Unit ID	Unit 1 | Building 1	Unit 1 | Building 1		Unit 1 | Building 1		Unit 1 | Building 1	
Location of ADU	Dwelling	Dwelling		Dwelling		Dwelling	
Bedrooms	2	2		3	$0	2	
Baths – Full | Half	1 0	1 0	-$5,000	1 0		1 0	
Finished Area Above Grade	864 Sq. Ft.	864 Sq. Ft.	-$37,200	612 Sq. Ft.	$8,800	728 Sq. Ft.	$4,750
Finished Area Above Grade (Nonstandard)	0 Sq. Ft.	—		—		—	
Unfinished Area Above Grade	0 Sq. Ft.	—		—		—	
Finished Area Below Grade	0 Sq. Ft.	0 Sq. Ft.		0 Sq. Ft.		0 Sq. Ft.	
Finished Area Below Grade (Nonstandard)	0 Sq. Ft.	—		—		—	
Unfinished Area Below Grade	0 Sq. Ft.	0 Sq. Ft.		0 Sq. Ft.		0 Sq. Ft.	
Exterior Quality and Condition							
Structure ID	Building 1	Building 1		Building 1		Building 1	
Quality	Q5	Q5		Q5		Q4	
Exterior Walls and Trim	Engineered Wood	Engineered Wood		Wood		Engineered Wood	
Foundation	Post and Pier	Post and Pier		Post and Pier		Slab	
Roof	Metal	Metal		Metal		Metal	
Condition	C4	C4		C4		C4	
Interior Quality and Condition							
Structure ID | Unit ID	Unit 1 | Building 1	Unit 1 | Building 1		Unit 1 | Building 1		Unit 1 | Building 1	

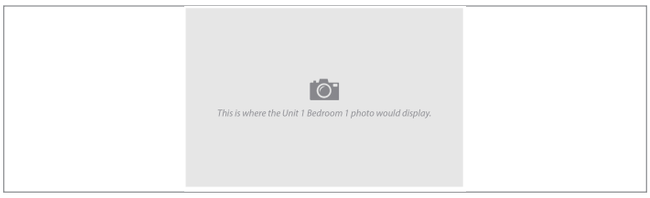
Sales Comparison Approach *(continued)*

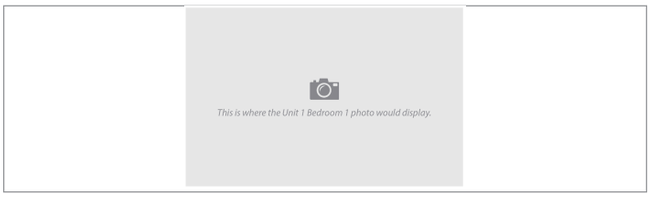
	Subject Property	Comparable #1		Comparable #2		Comparable #3	
Quality	Q5	Q5		Q5		Q4	
Kitchen	—	Basic		Basic		Standard	
Overall Bathrooms	Basic	Basic		Basic		Standard	
Overall Flooring	—	Standard		Standard		Standard Dry Wall | Vaulted	
Walls and Ceiling	—	Standard		Standard		Standard Dry Wall | Vaulted	
Condition	C4	C4		C4		C4	
Kitchen	—	Not Updated		Not Updated		Not Updated	
Overall Bathrooms	Moderately Updated	Moderately Updated		Not Updated		Not Updated	
ADU Interior Quality and Condition							
Location of ADU	Dwelling	Dwelling		Dwelling		Dwelling	
Quality	Q5	Q5		Q5		Q4	
Kitchen	—	Basic		Basic		Standard	
Overall Bathrooms	Basic	Basic		Basic		Standard	
Overall Flooring	—	Standard		Standard		Standard Dry Wall | Vaulted	
Walls and Ceiling	—	Standard		Standard		Standard Dry Wall | Vaulted	
Condition	C4	C4		C4		C4	
Kitchen	—	Not Updated		Not Updated		Not Updated	
Overall Bathrooms	Moderately Updated	Moderately Updated		Not Updated		Not Updated	
Overall Quality and Condition (Ratings: 1-6, 1 is highest)							
Quality	Q5	Q4	-$10,000	Q5		Q4	-$20,000
Condition	C4	C4		C4		C4	
Property Amenities							
Outdoor Living	—	Porch	-$3,000	—		Deck | Porch	-$5,000
Water Features	2 Outdoor Shower	—	$0	—	$0	—	$0
Vehicle Storage							
Type| Spaces | Detail	400 Sq. Ft. Detached Carport 2	Driveway Gravel 6		Attached Carport 2		Attached Carport 2	
Outbuilding (ADU and vehicle storage are not included in Finished Area, Unfinished Area, or room counts)							
Outbuilding Type	—	—		—	$0	—	
Summary							
List Price	$160,000 Pending	$279,000		$210,000		$257,500	
Sale Price	—	$279,000 | $275,000		$200,500		$249,750	
Net Adjustment Total	—	-$84,200		-$4,600		-$50,500	
Adjusted Price Per Unit	—	$97,400		$97,950		$99,625	
Adjusted Price Per Bedroom	—	$48,700		$39,180		$49,813	
Price Per Gross Building Finished Area	—	$100		$156		$172	
Adjusted Price	—	$194,800		$195,900		$199,250	
Comparable Weight	—	Less		Most		Less	

1 2 3

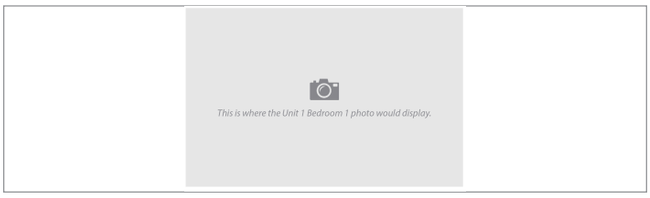
General Information







Sales Comparison Approach *(continued)*



$0

$0

Rental Information

Rent Schedule

Subject Property Rental Information

	Currently Rented	Occupancy	Monthly Rent	Month-to-Month	Lease Start	Rent Control	Rent Concessions	Utilities/ Services Included	Furnished
[Unit Identifier]	Yes	Tenant	$875	Yes		No	No	No	No

Actual Income

(Monthly) Rent		Rent		(Monthly)
[Unit Identifier]	Unit 1	$875 | Unit 1		$875
		$875		$1,800

Opinion of Market Income

Other Real Property Rental Income		Other Real Property Rental Income		
None		$0	None	$0
		$0.00		$0.00

Comparable Rental Properties

	Subject Property	Comparable #1	Comparable #2	Comparable #3
Rent Per Finished Area				
Actual Rent	$875	—	—	—

	Subject Property	Comparable #4	Comparable #5
Rent Per Finished Area			
Actual Rent	$875	—	—

Comparable Rental Analysis

Unit 1

1 2 3 4 5

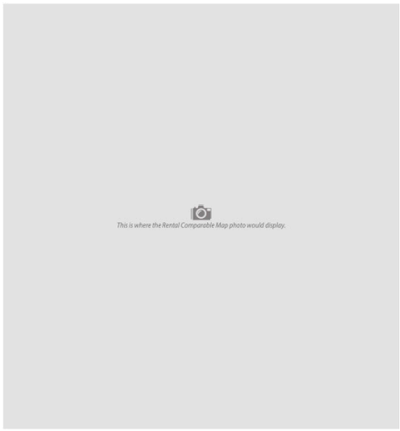
Rental Analysis Commentary

This data and other rent comparable information gathered from discussions with landlords, owners, and property managers support estimated rents for the subject. Estimated rents have been based on the above rent survey as well as a rental survey of the general area.

Rental Information Exhibits

Rental Information *(continued)*

Map of Rental Comparables



Comparable #	1 | 2 | 3 | 4 | 5

Income Approach

Gross Rent Multiplier Comparables

	Subject Property	Comparable #1	Comparable #2	Comparable #3
Sale Date				
Gross Monthly Rent	$875	—	—	—

1 2 3

Indicated Value by Income Approach

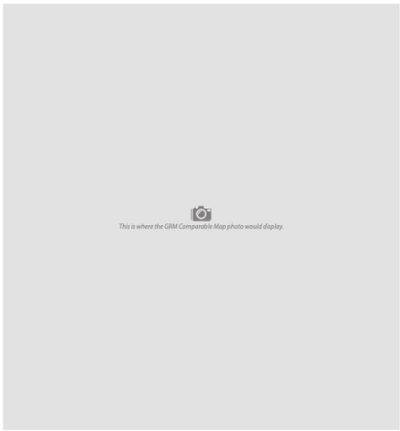
$1,800 110 $198,000

Income Approach Commentary

The appraiser's analysis of comparable sales of rental properties shows a range for the gross rent multiplier of 107 to 115. Comparable #3 is most similar in size and utility and is given most weight. The income approach is considered reliable and provides support for the value estimate. Comparable #1's gross monthly rent estimated due to owner occupancy of one of the units.

Income Approach Exhibits

Map of GRM Comparables



Comparable #	1 | 2 | 3

Reconciliation

Approaches to Value

Reconciliation *(continued)*

	Sales Comparison Approach	Income Approach	Cost Approach
Indicated Value	$195,000	$198,000	
Reason for Exclusion			Difficulty Estimating Depreciation

Appraisal Summary

Contract Price	$160,000	**Reasonable Exposure Time**	120 90
Opinion of Market Value	$195,000	**Effective Date of Appraisal**	10/05/2019
Market Value Condition	As Is		

Reconciliation of Market Value

Utilize this subsection for additional commentary as required by USPAP.

Apparent Defects, Damages, Deficiencies

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action
Dwelling Exterior				
Roof	Entire Roof	Rust noted on the roof. Metal galvanized roofs can deteriorate when rust forms. No ruptures or leaks noted at the time of inspection.	No	None

Revision History

Revision Date	URAR Section	Description
10/07/2019	Assignment Information	Corrected borrower name

Supplemental Information

Supplemental Information Exhibits

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the definition of market value or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to Intended Use, Intended User, and the certifications are also not permitted. However, additional Intended Use, Intended User, and certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser's continuing education or membership in an appraisal organization, are permitted.

Scope of Work

The scope of work for this assignment is based on the applicable assignment elements, including: the client and any other intended users, the intended use, the definition of market value that follows, the effective date, the subject property and its relevant characteristics, and the applicable assignment conditions. The appraiser must, at a minimum: (1) obtain and review adequate and reliable information for the subject property; (2) research, verify, and analyze adequate and reliable data for the subject market area including data for each comparable property reported; and (3) report his or her analyses, opinions, and conclusions in this appraisal report.

Intended Use

The intended use of the opinions and conclusions contained in this appraisal report is for the intended user to evaluate the property that is the subject of this appraisal for a mortgage finance transaction or related activities.

Intended User

The intended user of this report is the lender/client.

FHA and the Mortgagee are the intended users of this report.

The USDA and any other identified lender/client are intended users of this report.

The VA is also an intended user of this report.

Definition of Market Value

Supplemental Information *(continued)*

The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale with the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for costs that are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable because the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third-party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar-for-dollar cost of the financing or concession, but the dollar amount of any adjustment should approximate the market's reaction to the financing or concessions based on the appraiser's judgment.

Statement of Assumptions and Limiting Conditions

The appraiser assumes that the title is good and marketable unless he or she becomes aware of information to the contrary.

If the appraiser has included a sketch or floor plan in this appraisal report, it shows the approximate dimensions and is included only to assist the reader in visualizing the property and understanding the appraiser's determination of its size.

The appraiser has relied on data provided by third parties in this appraisal report. Such data may include, but is not limited to, floor plans, flood maps, multiple listing real estate services, tax assessment records, public land records, satellite imagery, virtual street views, property data services, surveys, engineering reports, and property data aggregations. After examination of the data and data sources, the appraiser has used only the data he or she considers reliable. The appraiser assumes there are no material omissions in the data relied upon and makes no guarantees, express or implied, regarding their accuracy. If the source date is prior to the effective date of the appraisal, the appraiser assumes the property characteristics and supporting information have not changed in the interim.

The appraiser will not be required to give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.

The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) that the appraiser became aware of during the development of this appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and assumes that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.

Certifications

Appraiser Certifications

The Appraiser certifies and agrees that:

I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

I did not base any part of my appraisal on the actual or perceived race, color, religion, sex (including sexual orientation or gender identity), age (other than as applicable for legally age-restricted communities), marital status, disability, familial status, or national origin of the present or prospective owners or occupants of either the subject property or properties in the area of the subject property or on any other basis prohibited by the Fair Housing Act or the Equal Credit Opportunity Act, or any other basis prohibited by law.

I stated in this appraisal report my own personal, unbiased, and professional analyses, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.

I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.

I meet the credential requirements for this assignment as of the date of this appraisal report and have knowledge and experience in appraising this type of property in this market area.

I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records, and other such data sources for the area in which the property is located.

I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.

I personally performed an onsite inspection of the interior and exterior areas of the subject property. I reported the readily observable

Certifications *(continued)*

condition of the improvements in factual, specific terms. I identified and reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I personally performed an inspection of the exterior areas of the subject property from at least the street. I reported the readily observable condition of the improvements in factual, specific terms. I reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I did not personally perform an onsite inspection of the subject property as part of this appraisal assignment. I reported the condition of the improvements in factual, specific terms, relying on subject property information data sources I considered reliable. I reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

Using information available in the normal course of business, I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal.

Using information available in the normal course of business, I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale.

I based my valuation on the available properties that are most similar to the subject property.

I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.

I have identified the differences between the subject and comparable properties, analyzed the market reaction to those differences, and reflected those differences in the analysis.

To the extent possible, I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.

I have taken into consideration the factors that have an impact on value with respect to the subject property, and its location, including its proximity to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that I became aware of during the development of this appraisal. I have considered these adverse conditions in my analysis of the property value and have reported on the effect of the conditions on the value and marketability of the subject property.

I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.

My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analyses supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).

I personally prepared all conclusions and opinions about the real estate that were set forth in this appraisal report. No one provided significant real property appraisal assistance.

I personally prepared conclusions and opinions about the real estate that were set forth in this appraisal report.

provided significant real property appraisal assistance in the development of this report. I certify that any individual so named is qualified to perform the assistance.

I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.

I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.

I am aware that any disclosure or distribution of this appraisal report or any of its contents by me or by the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.

The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions. Any of the foregoing persons or entities who receive this appraisal report may choose to store, copy, reproduce, analyze, use and distribute the data in the appraisal report for internal or external purposes without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media). A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government

Certifications *(continued)*

sponsored enterprises, and other secondary market participants may choose to rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties. A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.

I have not performed any service regarding the subject property within the three years preceding the agreement to perform this assignment.

I have performed services regarding the subject property within the three years preceding the agreement to perform this assignment.

Supervisory Appraiser Certifications

The Supervisory Appraiser certifies and agrees that:

I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

I directly supervised the appraiser for this appraisal assignment, have read the appraisal report, and agree with the appraiser's analyses, opinions, statements, conclusions, and the appraiser's certification.

The assignment information regarding the scope of inspection by the Supervisory Appraiser is correct.

I accept full responsibility for the contents of this appraisal report including, but not limited to, the appraiser's analyses, opinions, statements, conclusions, and the appraiser's certification.

The appraiser identified in this appraisal report is either a subcontractor or an employee of the supervisory appraiser (or the appraisal firm), is qualified to perform this appraisal, and is acceptable to perform this appraisal under the applicable law.

This appraisal report complies with the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

Additional Supervisory Appraiser Certifications

Additional Supervisory Appraiser Certifications cannot be contrary to the original Supervisory Appraiser Certifications.

1. I have performed services regarding the subject property within the three years preceding the agreement to perform this assignment. I performed an appraisal on April 13, 2018.

Signature

[Role] Lender

Level	Trainee Appraiser
ID	1111TRHI
State	HI

[Contact Name] Tom Appraiser Arthur Appraiser

Date of Signature and Report

Expires	12/31/2021